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India Seeks Clarity as 'Tipping Points' Rock Bonn Climate Talks

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Rishika Pardikar

At the Bonn climate talks in Germany on June 8-18, alongside the usual laundry list of contested themes such as climate finance, tipping points became an unexpected source of debate and controversy.

According to the Earth Negotiations Bulletin, India urged care and clarity in using terms like 'tipping points', which it said would present challenges around defining the idea and cautioned against mis-communicating or oversimplifying the science.

However, the European Union muddled the waters by raising concerns about "coordinated misinformation" and "obstruction".

Complexities, uncertainties

A climate tipping point is a threshold in the earth's climate system beyond which a part of it jumps into a new state.

Once such a tipping point has been crossed, changes can happen faster or harder to reverse on human timescales, even if the original cause of the change is removed.

For example, say warming in the Arctic melts enough sea ice to expose large areas of dark ocean. These waters could absorb more heat, causing more warming and even more melting. With enough heat, this cycle may be able to continue on its own, rendering recovery very difficult.

However, it is difficult to project tipping points in the climate because of complexities in the climate system and uncertainties in the input data.

Climate communicators also struggle with this concept; some see it as a catalyst for urgent action while others have argued that its inherent uncertainties undermine its value for policymaking.

In fact, climate-related drivers of directly experienced disasters, such as extreme rainfall or heatwaves, are sometimes seen as more effective for raising public awareness of climate change and the need for climate action than the relatively abstract concept of climate tipping points.

However, the risks that tipping points carry are significantly larger than routine climate-induced disasters, and thus raise larger questions about how people can adapt to the effects of a breached tipping point.

Multiple thresholds

Tipping points have non-linear behaviour. This means they don't increase at the same pace or intensity at which greenhouse gases accumulate in the environment. Instead, even small increases in temperature can trigger large, self-amplifying feedback loops.

Aside from warming in Arctic, potential climate tipping points include a 'dieback' of the Amazon rainforest (let the risk of the forest reverting to being a savannah), the collapse of an ocean current called the Atlantic meridional overturning circulation (AMOC), the mass-bleaching of coral reefs, changes in the monsoons over India and West Africa and the disintegration of the Greenland ice sheet.



Scientists study the Atlantic meridional overturning circulation, a movement of warm and cold waters that stretches from around Greenland to beyond the tip of Africa and into the Indian Ocean. The risks that tipping points carry are significantly larger than routine climate-induced disasters. AP

While human societies will be better off not threatening any of the climate tipping points, there are also positive social tipping points in the climate space – such as the adoption of renewable energy. Once these technologies win a critical adoption level, some experts have argued, they will be on track to large-scale adoption.

Contesting tipping points

That said, many experts have also said tipping points raise more questions than provide answers.

Scientists also still struggle to project when the AMOC will collapse or when the Amazon rainforest will transition into a savannah ecosystem.

One reason is that scientists have to work with projected emissions and temperature ranges in future and, based on that, they have returned with indications that certain climate systems will change slowly rather than suddenly to new states.

For example, one *Science Advances* paper in April noted that AMOC could slow down by 5%, rather than altogether collapse, by 2100 in a medium-emissions scenario.

This conclusion also depends on the model context because it is not a direct forecast; the paper only aimed to identify which model projections were more credible than others. In other words, uncertainties are implicit in the data and cannot be removed using more data alone.

In fact, research suggests that scientists may be able to identify fixed tipping points clearly only in *post facto* analysis from a historical lens. Meaning, in hindsight.

And in the case of complex ecosystems like the Amazon rainforest, whose fate is closely tied to millions of tribal and urban community members and numerous artisanal enterprises, a projection of

Many scientists and science communicators agree that clearly communicating scientific uncertainty is a good thing because it builds trust

tipping points based only on changes in the climate would miss influences due to, say, cattle-ranching and human deforestation – and underestimate the implications of a change to a savannah. That said, some scientists have also contested whether tipping points will be abrupt. For example, ice sheets deplete over thousands of years – which is far from abrupt for human observers.

A faux threshold

There is a popular notion that the earth's surface warming beyond 1.5 degrees Celsius is a tipping point. The confusion persists even among participants in climate negotiations, research published in 2019 found.

However, negotiators adopted this number as well as 2 degrees Celsius at the COP21 climate talks in 2015 as a political target based on scientific evidence that warming beyond 1 degrees Celsius, 1.5 degrees Celsius or 2 degrees Celsius will increasingly disrupt the climate. The temperature goals are not tipping points in and of themselves.

At the Bonn climate talks, when India urged caution on how the term 'tipping point' is defined and used, the European Union said that amounted to 'misinformation'.

Specifically, India argued that the term 'tipping point' entails "definitional challenges". This much has been acknowledged in independent scientific research and in state-led efforts. For instance, the UK's national meteorological office is working on a project titled 'An Up-Hill Battle: Building

consensus on terminology for high impact climate events and tipping point risks'.

According to a project document, "Unclear and inconsistent terminology for high impact climate phenomena, including concepts such as tipping points, irreversibility, collapse and 'shutdown', presents a substantial barrier to clear understanding of Earth system risks."

Way from here

Many scientists and science communicators agree that clearly communicating scientific uncertainty is a good thing because it builds trust.

Both false alarm and a false sense of hope can affect credibility when, say, a projection or a forecast doesn't come to pass. The risk – rather than the certainty – implicit in tipping points is also significant enough to warrant climate action.

In one 2025 article in *Nature Climate Change*, researchers from Canada, Switzerland, the UK, and the U.S. criticised the 'tipping point' framework for 'oversimplifying the diverse dynamics of complex natural and human systems and for conveying urgency without fostering a meaningful basis for climate action'.

They also called for more clarity, especially on the degree of abruptness, the reversibility of changes, and feedback-driven self-amplification.

"Climate change is already causing demonstrable and obvious harm around the world," the researchers wrote. In tipping point discourse, on the other hand, "there is no specific increment of temperature increase that science can identify as the boundary between our current, already-dangerous climate and a future catastrophic climate, and no justification for doomism and paralysis while the world continues to warm."

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THE GIST

At the Bonn climate talks in Germany on June 8-18, tipping points became an unexpected source of debate and controversy.

India urged care and clarity in using terms like 'tipping points', which it said would present challenges around defining the idea and cautioned against mis-communicating or oversimplifying the science.

It is difficult to project tipping points in the climate because of complexities in the climate system and uncertainties in the input data.

India Seeks Clarity as 'Tipping Points' Rock Bonn Climate Talks

- **Climate Tipping Point**

- Threshold beyond which a part of the Earth's climate system shifts to a new state, often irreversible on human timescales

- **Key Tipping Points Identified**

- Amazon dieback, AMOC collapse, coral reef bleaching, Greenland ice sheet disintegration, monsoon disruption over India and West Africa

- **The Faux Threshold Debate**

- Popular belief treats 1.5°C warming itself as a tipping point; in reality it is a negotiated political target, not a scientifically abrupt threshold

- **Way Forward**

- Scientists call for consensus terminology and clearer communication of uncertainty to build trust in climate diplomacy

A Question in Wake of Great Nicobar Project: Is What Can Be Justified Also Just?

A question in wake of Great Nicobar project: Is what can be justified also just?



JAY MAZOOMDAR

LOST IN the debate surrounding the Great Nicobar Island project is a fundamental question: Is what can be justified necessarily just?

A short Bengali poem by the late Binoy Majumdar can be paraphrased thus: "When some explorers 'discovered' an island, they found people already living there. If the island was 'undiscovered', how could it be inhabited? And if people were already living there, how could the explorers 'discover' it?"

Perhaps the maverick mathematician-poet was examining the colonial Doctrine of Discovery — the idea that the first European nation to "discover" a territory in the Americas acquired exclusive rights over it. Around the same time, British colonists in Australia treated hundreds of Aboriginal nations as inhabitants of *terra nullius* — nobody's land.

In India, Lord Dalhousie's Waste Land Rules enabled the takeover of vast tracts of "unproductive" forests and commons beginning in the 1850s. The Land Acquisition Act, 1894 made the government's decision the final word for a public purpose, pushing railways, mines and plantations across forested tribal regions, such as Chota Nagpur, Santhal Parganas and the Central Provinces.

Few would dispute that each of these policies was profoundly unjust and immoral, if not outright criminal, by today's ethical and legal standards. Even fewer would argue that the world is worse off because of the railways, industries and cities that emerged from those interventions. But that is no reason to repeat them. More than a century after the colonial framing of "public purpose", no claim of public, strategic or national interest can be exempt from the burden of justification today. Especially when a mega project is envisaged in a rainforest island that is home to several endemic wild species and to



ILLUSTRATION: C R SASIKUMAR

the world's only population of fewer than 300 indigenous Shompen people.

The Rs 90,000-crore Great Nicobar Island project, spanning 166 sq km at the southernmost tip of the archipelago, includes an international container transshipment port, an integrated township, a civil-military airport, a power plant and luxury tourism facilities. Many have demonstrated otherwise but, for a moment, let us accept that the defence installation's location is non-negotiable, that the transshipment port can be financially viable, that the sprawling township is necessary, that the geological risks are manageable, and that the project's strategic importance is paramount.

But even if every justification is taken at face value, none answers the more important question: Is the project just? By its own submission, the plan requires 73 sq km of tribal reserve areas. On its balance sheet, the project has provided for adding 77 sq km of peripheral land to make up for the loss. The indigenous people are not to be dispossessed, merely displaced.

In 1823, the US Supreme Court Chief Justice John Marshall weighed in on indigenous rights: "The rights of the original inhabit-

ants were, in no instance, entirely disregarded; but were necessarily diminished."

Shifting them from parts of their ancestral home will unsettle the Shompen and the Great Nicobarese, the other indigenous tribe inhabiting the coastal areas of the island. Neither have consented to the plan. The very assertion that these people can be pushed around at will disregards their traditional land use practices. The proposed arrangement echoes an unsettling past: "Is it supposed that the wandering savage has a stronger attachment to his home than the settled, civilised Christian?... Doubtless it will be painful to leave the graves of their fathers; but what do they more than our ancestors did or than our children are now doing?"

That was US President Andrew Jackson's message to the Congress in 1830. Two centuries have passed since. Today, ancestral rights of indigenous groups to their ancestral land are well established. The UN acknowledges that respecting their self-determination and traditional territories is essential to prevent exploitation and displacement. We do not need to look far to know what risks our civilisation poses to the indigenous people. Contact with outsiders has

historically exposed these isolated communities not only to unfamiliar diseases — such as measles, tuberculosis, syphilis and respiratory infections — but also to substance abuse, social disruption, economic dependency and sexual exploitation.

Since the arrival of British settlers in the 1850s, the Great Andamanese population fell from an estimated 3,500-6,000 to fewer than 650 in just five decades. Today, less than a hundred survive on Strait Island. A similar fate befell the Onge on Little Andaman. The hunter-gatherers could not adjust to forced settlement and many died of alcoholism, depression and suicide. The Jarawa resisted outside contact for much longer. But the world entered their home through the Andaman Trunk Road that cut through the heart of the Jarawa Reserve in the 1990s. Today, the Jarawa face the same pitfalls of disease and alcoholism, with their women falling victim to trafficking and abuse. Knowing this history, can we still justify exposing the Shompen to the same risks? Or are we, in our ambition to build our own "Hong Kong" at their home, echoing an anachronistic entitlement that every corner of the land must be put to productive use on our terms?

"Our manifest destiny is to overspread the continent allotted by Providence for the free development of our yearly multiplying millions," wrote American political columnist John O'Sullivan in support of annexing indigenous land in 1845. Nearly two centuries should have been time enough to leave behind such impulses. The doctrine of public trust demands that the state hold vital natural resources — like air, water, forests, coasts — in trust for the benefit of the public, not only of the present generation but of those yet to come. That intergenerational promise must extend to our past — or what survives of it, not because of us but despite us. We are duty-bound to protect their right to simply exist where they are, as they are.

Indeed, public interest may sometimes justify imposing the cost of a larger good on a few. But not when those few are the very last survivors of our war on old ways of life.

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A Question in Wake of Great Nicobar Project: Is What Can Be Justified Also Just?

- A range that travels from the seven sisters and falls along to coastal Myanmar, also extends and disappears into Bay of Bengal, only to rise once again in the Andaman and Nicobar islands. These are the Arakan Yoma Mountain Ranges of Burma (aka Rakhine Mountains).
- Stretched on the globe from 6° to 14° Northern latitudes and from 92° to 94° Eastern longitudes, this archipelago is categorized into the North Andaman Islands (North of 10° latitude) and South Nicobar Islands (South of 10° latitude). They are separated by the Ten Degree Channel, which is 150 km (93 mi) wide.
- The Andamans encompass an area of 6,408 km² (2,474 sq mi), while the Nicobar group covers 1,841 km² (711 sq mi).



Coco Chanel: Separates the Andaman group from Myanmar's Coco Islands

Duncan Passage: Lies between South Andaman and Little Andaman

Ten Degree Channel: Separates the Andaman and Nicobar Islands

Sombrero Channel: Separates the central group of Nicobar Islands from Little Nicobar

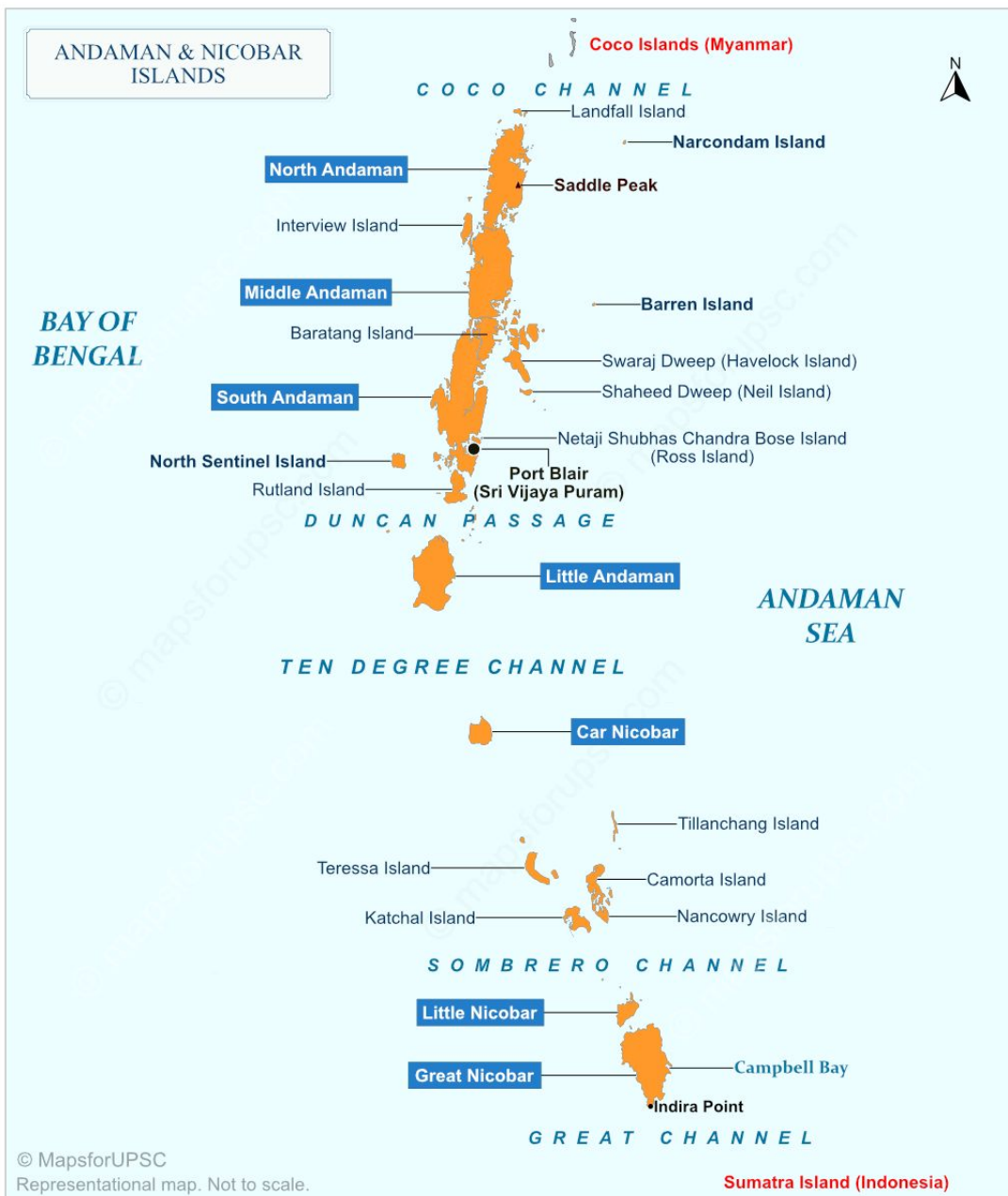
Great Channel: Separates India's Nicobar Islands from Indonesia's Sumatra Islands.

The **Andamans comprise North, Middle, and South Andaman, known collectively as Great Andaman.** These are the most known and inhabited islands

The Andaman and Nicobar islands comprise 572 islands and islets. Only 31 are inhabited on a permanent basis.



- Narcondam Island is a dormant volcanic island.
- Saddle Peak on North Andaman is the highest peak in Andaman and Nicobar Islands, at 2,418 feet
- Interview Island Wildlife Sanctuary, the largest island sanctuary in the Andaman and Nicobar Islands, is primarily famous for its population of feral elephants.
- Barren Island, the only active volcano of India is located in the Andaman Sea.
- Baratang Volcano : It is a very popular tourist spot because it is India's only mud volcano. It is also home to the Jarawa tribe, one of the indigenous tribes of the Andaman and Nicobar Islands.
- Swaraj Dweep (Havelock Island) and Shaheed Dweep (Neil Island) are both islands in the Andaman and Nicobar Islands.
- Ross Island was renamed as Netaji Subhas Chandra Bose Island
- North Sentinel Island : It is home to the indigenous Sentinelese people, one of the most isolated tribes in the world.
- The capital and largest city is Port Blair officially Sri Vijaya Puram)
- Little Andaman and South Andaman are separated by the Duncan Passageway



- The Nicobars consist of 19 islands. Car Nicobar in the north; Camorta, Katchall, and Nancowry in the centre; and Great Nicobar in the south are the most popular islands of the Nicobar.
- Indira Point located at $6^{\circ}45'10''\text{N}$ and $93^{\circ}49'36''\text{E}$ at the southern tip of Great Nicobar, is the southernmost point of the entire territory of India.

A Question in Wake of Great Nicobar Project: Is What Can Be Justified Also Just?

- **PVTGs** is a sub-classification of Scheduled Tribes that are more vulnerable than regular Scheduled Tribes due to their limited access to education, healthcare, and modern infrastructure.
- These groups are often referred to as "primitive" because of their traditional lifestyles and limited exposure to modern amenities.
- In 1973, the Dhebar Commission classified Primitive Tribal Groups (PTGs) as a distinct category for the least developed tribal groups, which were later renamed PVTGs by the Government of India in 2006.
- In 1975, India began identifying the most vulnerable tribal groups as PVTGs, initially declaring 52 groups, with an additional 23 added in 1993, bringing the total to 75 PVTGs out of 705 Scheduled Tribes.
- PVTGs are characterized by a small, homogenous population, physical isolation, lack of written language, simple technology, and slower social and economic development.
- Odisha has the highest number of PVTGs (13), followed by Andhra Pradesh and Telangana (12).

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- **Tribes of Andaman and Nicobar**

- The Andamanese, Jarawas, Onges and the Sentinelese living in the Andaman group of islands belong to the Negrito group while the Nicobarese and Shompens, living in Nicobar Islands belong to the Mongoloid group.
- **Negrito Tribes (Andaman)**
 - Great Andamanese: Once numerous, reduced by colonization, now confined to Strait Island.
 - Onge: Hunter-gatherers on Little Andaman, preserve traditional lifestyle.
 - Jarawa: Inhabit South and Middle Andaman; resist outside contact.
 - Sentinelese: World's most isolated tribe, inhabit North Sentinel Island, fiercely reject contact.
- **Mongoloid Tribes (Nicobar)**
 - Nicobarese: Most populous tribe in the islands; practice agriculture, fishing, and hunting; not a PVTG.
 - Shompen: Reside in Great Nicobar interior, are hunter-gatherers, and have shown openness to contact.

A Question in Wake of Great Nicobar Project: Is What Can Be Justified Also Just?

- **Great Nicobar Island Project**
 - Rs 90,000-crore project spanning 166 sq km at the southern tip of the archipelago; includes an international transshipment port, township, airport, power plant and tourism facilities
- **Affected Indigenous Communities**
 - Shompen (fewer than 300 people) and Great Nicobarese tribes inhabit the region; neither has consented to displacement from ancestral land
- **Doctrine of Public Trust**
 - Holds that the State must preserve vital natural resources air, water, forests, coasts in trust for the public, across present and future generations
- **Historical Parallels**
 - Demographic collapse of the Great Andamanese and Onge after outside contact
- **Central Ethical Question**
 - Whether a project that can be justified on strategic or economic grounds is automatically just to the indigenous people it displaces ?

A Question in Wake of Great Nicobar Project: Is What Can Be Justified Also Just?

- **Personal Take**
 - **The Three Tests of Justice**
 - A project is not automatically just because it is strategically or economically beneficial. It must pass three tests:
 - **Purpose Test: Is the project genuinely in the larger public interest?**
 - **Process Test : Were indigenous communities consulted, gave free, prior and informed consent, and treated with dignity?**
 - **Outcome Test : Are they better off after displacement than before?**
 - **If a project fails the second or third test, it may be legal, profitable, or strategically important, but it cannot be called just.**

Development is a three-legged stool:

Economic Growth

National Security

Human Dignity

If one leg, human dignity is removed, development becomes unstable.

A Question in Wake of Great Nicobar Project: Is What Can Be Justified Also Just?

Practice Question

The 'Doctrine of Public Trust', often invoked in Indian environmental jurisprudence, holds that:

- (a) Natural resources such as air, water, forests and coasts are meant for public use and cannot be arbitrarily subjected to private ownership**
- (b) The State can transfer forest land to private entities without any restriction if it serves economic development**
- (c) Tribal consent is legally mandatory before any infrastructure project in a Scheduled Area**
- (d) The Union government has exclusive and unfettered rights over all coastal and marine resources**

A Question in Wake of Great Nicobar Project: Is What Can Be Justified Also Just?

Consider the following statements about Particularly Vulnerable Tribal Groups (PVTGs) in India:

- 1. PVTGs reside in 18 States and one Union Territory.**
 - 2. A stagnant or declining population is one of the criteria for determining PVTG status.**
 - 3. There are 95 PVTGs officially notified in the country so far.**
 - 4. Irular and Konda Reddi tribes are included in the list of PVTGs.**
- Which of the statements given above are correct?**

This question was previously asked in
**Official UPSC Civil Services Exam
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1. 1, 2 and 3

2. 2, 3 and 4

3. 1, 2 and 4

4. 1, 3 and 4

Partners in Tech, Trade: India-Japan Ties Amid Global Disruptions

Partners in tech, trade: India-Japan ties amid global disruptions

Divya A
New Delhi, June 30

JAPANESE PRIME Minister Sanae Takaichi lands in India on Wednesday on her first visit. It is focused on boosting trade, investment and strategic cooperation between the two partners, said the Japanese foreign ministry.

The agenda

During her three-day visit, Takaichi will participate in the 16th edition of the India-Japan Annual Summit, a mechanism established in 2006 under which the prime ministers of the two countries meet annually, and alternate as hosts. The summit follows Prime Minister Narendra Modi's visit to Tokyo in August 2025 for the 15th edition, during which the two countries reaffirmed their commitment to deepening cooperation across strategic, economic, technological and security domains.

Takaichi is accompanied by a large business delegation, with executives from both countries set to attend business events with both leaders. Japan is among India's largest investors, backing major infrastructure projects, and has increased investments in Indian companies, including a recent \$1.4 billion deal for a 20% stake in Yes Bank.

Around 1,400 Japanese companies operate in India, nearly half of them in the manufacturing sector. Bilateral trade reached \$27.6 billion in 2023-24, with Japanese

investment in India going up to \$3.2 billion between April and December 2025. Modi and Takaichi had met earlier this month on the sidelines of the G7 Summit in France and discussed enhancing economic cooperation with a focus on trade and investment.

Areas of collaboration

The relationship was launched as a Global Partnership in 2000, upgraded to a Strategic and Global Partnership in 2006, and elevated to a Special Strategic and Global Partnership in 2014 during the Summit between PM Modi and former prime minister Shinzo Abe.

Both countries are important for each other. India-Japan relations provide a strategic and economic counterweight to

China's growing dominance in the region. The leaders will also discuss security cooperation and efforts to advance a free and open Indo-Pacific. India and Japan are members of the Quad grouping alongside the US and Australia, and have expanded defence and strategic collaboration in recent years.

As the world battles issues such as supply chain disruptions and shortage of critical minerals, economic security and technology have also emerged as key pillars of the relationship. Both countries have signed agreements in the fields of minerals and semiconductor supply chains, and enhanced their cooperation in artificial intelligence.

Regional affinities: A unique feature

India-Japan ties are based on cooperation across eight key pillars — economy, economic security, mobility, environment, technology and innovation, healthcare, people-to-people exchanges, and state-prefecture engagement.

Japan is the only country with which India has a dedicated institutional mechanism for the development of the North-East via the India-Japan Act East Forum. India and Japan have partnered on connectivity and development in Northeast India, including projects in infrastructure, agriculture, tourism and skills. In fact, Guwahati was also considered as a possible venue for the visit, but was later ruled out owing to 'logistical issues'.



Modi and Takaichi on the sidelines of the G7 summit

COUNTERWEIGHT TO CHINA

- India-Japan relations provide a strategic and economic counterweight to China's growing dominance in the region.
- Modi and Takaichi will likely discuss security cooperation and efforts to advance a free and open Indo-Pacific.

Partners in Tech, Trade: India-Japan Ties Amid Global Disruptions

- **PM Takaichi's Visit to India**

- Japanese PM Sanae Takaichi's first visit to India; participation in the 16th India-Japan Annual Summit, a mechanism established in 2006

- **Evolution of the Partnership**

- Global Partnership (2000) → Strategic and Global Partnership (2006) → Special Strategic and Global Partnership (2014)

- **Economic Ties**

- Bilateral trade at \$27.5 billion (2025-26); Japanese investment in India up to \$3.2 billion (April-December 2025); around 1,400 Japanese companies operate in India

- **Eight Pillars of Cooperation**

- Economy, economic security, mobility, environment, technology and innovation, people-to-people exchange, healthcare, and state-prefecture engagement

- **Strategic Rationale**

- India-Japan ties act as a counterweight to China's growing regional dominance; both are members of the Quad alongside the US and Australia

Eight Pillars of India-Japan Cooperation

1

Economy

2

Energy Security

3

Mobility

4

Environment

5

Technology & Innovation

6

People-to-People

7

Healthcare

8

State-Prefecture

Partners in Tech, Trade: India-Japan Ties Amid Global Disruptions

Practice Question

Consider the following countries:

- 1. Australia 2. Canada 3. China**
4. India 5. Japan 6. USA

Which of the above are members of the 'Quadrilateral Security Dialogue (Quad)'?

- (a) 1, 2, 4 and 5**
(b) 1, 3, 4 and 6
(c) 2, 3, 4 and 6
(d) 1, 4, 5 and 6

The Indo-Pacific is Here to Stay, With or Without Washington

The Indo-Pacific is here to stay, with or without Washington



RAJA MANDALA

BY C RAJA MOHAN

JAPANESE PRIME Minister Sanae Takaichi's visit to India this week highlights one important fact — the Indo-Pacific as a geopolitical construct will live on. Whatever Washington's reasons are for restoring the name Pacific Command, the logic of the Indo-Pacific will continue to drive key regional actors like India and Japan.

Prime Minister Narendra Modi's visit later this month to Indonesia, Australia and New Zealand will reinforce the proposition. In sum, the Indo-Pacific will remain a critical theatre of India's national economic and security strategy.

It was the Trump administration that officially adopted the Indo-Pacific lexicon in 2017, during its first term. At the time, many in India's strategic community viewed the concept with deep suspicion. Was Washington trying to lure India into an anti-China alliance? Was this another attempt to compromise India's strategic autonomy? Today, the anxiety has simply reversed. If Washington no longer emphasises the Indo-Pacific, does it mean America is abandoning Asia? Is it preparing to build a condominium with China?

Both reactions overestimate Washington's power to define India's strategic environment. What they reveal is a self-generated anxiety in Indian strategic discourse that swings wildly between concerns about

American "entrapment" and fears of American "abandonment".

The Indo-Pacific construct, when it emerged in the early 2000s, reflected the changing distribution of economic and military power in Asia driven by China's rise and assertion. What Americans call that reality matters less than the fact that Beijing's neighbours have no option but to deal with it — with or without American support.

In any case, the Indo-Pacific was not an American invention. Its modern political articulation came from Japan. In August 2007, during his historic address to the Indian Parliament, the late Shinzo Abe spoke of the "Confluence of the Two Seas". His argument was both simple and profound: The destinies of the Indian and Pacific Oceans had become inseparable, and the democracies along their littorals needed to work together to preserve an open regional order.

For Abe, this was not diplomatic rhetoric. It reflected Japan's assessment that China's rise had fundamentally altered Asia's strategic balance. The old Cold War alliance system centred exclusively on northeast Asia would no longer suffice. Japan needed stronger partnerships with India, Australia, Southeast Asia and Europe while reinforcing its alliance with the United States. The Indo-Pacific became the organising principle for that broader strategy.

Nearly two decades later, Prime Minister Takaichi has become the principal custodian of Abe's vision. Rather than retreating in the face of Washington's change of emphasis, Tokyo has doubled down. Speaking at Vietnam National University in Hanoi in May, Takaichi unveiled an updated "Free and Open Indo-Pacific" strategy, reaffirming the concept's validity despite shifts in American policy. **Her updated**

framework places new emphasis on resilient supply chains, critical minerals, economic security, maritime cooperation and stronger partnerships across the region.

Japan's credibility rests not merely on its diplomacy but on the transformation underway at home. Under Takaichi, Tokyo has accelerated the most ambitious expansion of Japanese defence capabilities since World War II. Defence spending crossed the 2 per cent of GDP threshold ahead of schedule. Long-range strike capabilities — including Tomahawk cruise missiles and extended-range indigenous missiles — are being deployed. Japan is reorganising its maritime forces, expanding its space capabilities, strengthening defence-industrial cooperation with partners, and building new security networks with Australia, South Korea, the Philippines and India. Tokyo's message is clear: Preserving a stable Indo-Pacific requires Japan to become a stronger strategic actor in its own right, not merely a dependent ally of the US.

The outcomes from Takaichi's visit will reflect that strategy. Tokyo and Delhi are preparing a joint declaration on economic security that, according to Japanese officials, will register their shared opposition to economic coercion. The two sides are expected to identify priority sectors, from semiconductors and critical minerals to clean energy, and to commit to coordinating their response when coercion is used.

Ironically, perhaps the strongest validation of the Indo-Pacific idea comes from China itself. Beijing dismisses the Indo-Pacific as an artificial construct. Yet, its own policies increasingly integrate the two oceans into a single strategic theatre. Over the past two decades, China's dependence on Middle Eastern energy and African re-

sources has steadily grown.

Beijing has built overland economic corridors linking western China to the Indian Ocean, established its first overseas military base in Djibouti, maintained a continuous naval presence across the Indian Ocean and developed an expanding network of dual-use commercial facilities stretching from Southeast Asia to the east coast of Africa. Chinese strategy increasingly treats the Indian and Pacific Oceans as one connected maritime space — which is precisely the logic underlying the Indo-Pacific concept.

India recognised this transformation nearly a decade ago when it formally embraced the Indo-Pacific as the widening arena of its strategic interests. There is little reason to abandon that framework simply because Washington has altered its vocabulary.

Delhi need not become captive to American enthusiasm or American indifference.

The Indo-Pacific ultimately rests not on American terminology but on Asian geography and Asian power politics. As China expands simultaneously into the Pacific and the Indian Ocean, and as Japan emerges as an increasingly capable strategic actor, the integration of the two oceans will only deepen.

The Indo-Pacific, then, is a structural reality of Asian politics, not a shifting American narrative. India should focus on building its own capabilities and deepening partnerships with like-minded Indo-Pacific countries to strengthen the regional balance of power.

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Delhi need not become captive to American enthusiasm or indifference. The Indo-Pacific ultimately rests not on terminology but on Asian geography and Asian power politics

The Indo-Pacific is Here to Stay, With or Without Washington

- **Origin of the Term**

- Coined and articulated by Japan; PM Shinzo Abe's 2007 address to the Indian Parliament spoke of the "Confluence of the Two Seas"

- **US Adoption and Recent Shift**

- Formally adopted by the US in 2017; the recent restoration of the "Pacific Command" name has revived questions on Washington's continued emphasis

- **India's Position**

- India formally embraced the Indo-Pacific nearly a decade ago as the widening arena of its strategic interests; a founding member of the Quad

- **China's Response**

- China dismisses the Indo-Pacific as an artificial construct, even as its own strategy — Djibouti base, overland corridors — treats the two oceans as one connected theatre

- **Key Takeaway**

- The Indo-Pacific rests on Asian geography and power politics, not American terminology, and will persist regardless of shifts in US policy

The Fiscal Tightrope for State Governments

The fiscal tightrope for State govts.

Most State government expenditure is on social sectors, such as health and education, and economic sectors, such as agriculture and irrigation. In Kerala, such spending has driven social progress since the 1960s. The gap between expenditure and receipts is usually financed through market borrowings.

ECONOMIC NOTES

Jayan Jose Thomas

Kerala and Tamil Nadu are among the most socially and economically advanced States in India. Yet, the finances of both governments, like those of most other States, are under stress. The White Papers recently released by the two governments described their outstanding debt as alarming. State government debt is often vilified as the result of fiscal mismanagement. But it may, in fact, reflect a mismatch between development aspirations and the limited fiscal capacity of State governments.

The fiscal dilemma

Debts build up over the years with deficits, which arise when the government's expenditure overshoots its tax and other receipts. In India, while the power to raise taxes rests largely with the Union government, a larger share of overall government spending is borne by the State governments. A majority of the State government expenditure is on social sectors, such as health and education, and economic sectors, such as agriculture and irrigation, all of which have a direct impact on people's lives and livelihoods. In Kerala, the high levels of State government spending on social sectors since the 1960s have been a central constituent of the public action driving social progress. Compared with the corresponding average for all Indian States, per capita State government social expenditure was higher in Kerala and Tamil Nadu (by 30% and 20% respectively). In contrast, it was markedly lower in Bihar and Uttar Pradesh (by 35% and 40%) (for the period 2020-23), according to an analysis based on State Finances: A Study of Budgets, Reserve Bank of India.

States meet their expenditures partly through their own revenues – which mainly include State Goods and Services Tax (SGST) and sales tax – and through fiscal transfers, grants, and loans from the Union government. Kerala has a sufficiently good record of mobilising own-tax revenues, which, on a per capita basis, are 1.5 times the average for all Indian States and Union Territories.

However, its share in the Union government's tax devolution to States was 1.82%, lower than its 2.6% share of India's population in 2022-24.

The excess of expenditures over receipts has been met through market borrowings by the States, on which the States pay interest (Charts 1 and 2).

Of the limited financial resources at its disposal, Kerala has been able to direct only 15% towards capital expenditure to enhance future production capabilities. The rest was spent on revenues, or day-to-day expenditure. Approximately a fifth of the State's budget expenditure was on the salaries of government employees, mainly teachers, nurses, doctors, and police personnel. Pensions accounted for 15.3%, while interest on market borrowings accounted for 16.5% of the total budget expenditure (Chart 2).

The investment challenge faced by Kerala

Kerala is thus caught in a fiscal dilemma. If it tries to create more fiscal space by reducing revenue expenditures – cutting pensions, retrenching employees – it risks eroding its strengths in the social sector. At the same time, Kerala urgently requires large-scale, State-directed investments in infrastructure, higher education and research, and public transport, if it is to realise its potential in modern, knowledge-intensive economic sectors. Educated young people are leaving Kerala in large numbers because the State is unable to create educational and employment opportunities that meet their aspirations.

In Kerala, the government's weak fiscal capacity contrasts with unmistakable signs of private affluence (lavishly built houses, expensive cars, and a high density of gold shops), threatening to exacerbate inequalities.

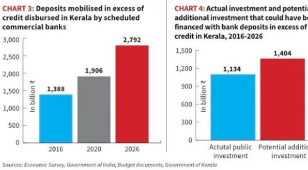
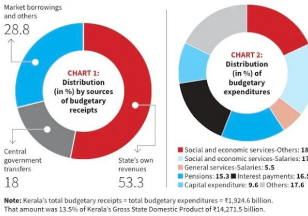
The ratio of credit to deposits of scheduled commercial banks in Kerala is only around 60%, compared with the national average of 70% and ratios exceeding 100% in Maharashtra and Tamil Nadu (2023). The excess of bank deposits over bank credit is one indicator of the volume of unutilised savings in Kerala. Between 2016 and 2026, the State government's capital expenditure could have been at least doubled if Kerala had been able to channel at least part of its surplus savings into investment (Charts 3 and 4).

The borrowing opportunity for China's local governments

In China, the bigger chunk of the massive investments that have boosted economic growth has been undertaken by provincial and lower-level local governments. Local governments borrow heavily to finance these investments, drawing on the large pool of domestic savings held by Chinese banks, while their efforts are coordinated through central government planning. China's local governments raise resources through the sale of local government bonds (LGBs), land sales, and off-budget

The fiscal dilemma

While the power to raise taxes rests largely with the Union government, States bear much of the spending on key social and economic sectors. The debt burden of States may reflect the gap between development needs and limited fiscal capacity.



borrowing via local government financing vehicles (LGFVs), supplementing fiscal transfers by the central government.

In India, not only have there been limits on borrowing by State governments, but the cost of their debt has also been markedly high. State governments pay interest of 6.5% to 7.8% on the securities they issue, known as State Development Loans (SDLs), to borrow from the market. This is 0.25 to 0.75 percentage points higher than the rate at which the Union government borrows and significantly more expensive than the cost of borrowing by Chinese local governments from their banking system (around 2%).

The high interest burden further tightens the debt noose around State governments.

The State and Union government bonds issued in India are largely purchased by domestic financial institutions, including commercial banks

THE GIST

State government debt builds up over the years when expenditure exceeds tax and other receipts. While the Union government raises most taxes, States bear a large share of public spending.

States meet their expenditures partly through their own revenues, including State Goods and Services Tax (SGST) and sales tax, and through fiscal transfers, grants, and loans from the Union government.

The excess of expenditures over receipts has been met through market borrowings by the States, on which the States pay interest.



The Fiscal Tightrope for State Governments

- **The Fiscal Dilemma of States**

- States bear a large share of expenditure on health, education and agriculture, while the Union raises most taxes this mismatch drives State debt buildup : Vertical Fiscal Imbalance

- **Kerala's Case**

- Per-capita social spending about 30% above the all-India average, but weak capital expenditure at only around 10% of the budget; credit-deposit ratio just 66% versus the national average of 76%

- **Financing the Gap**

- The expenditure-receipt gap is financed through market borrowings; States pay 6.5-7.5% interest on State Development Loans (SDLs), 0.25-0.75 percentage points higher than Union government borrowing

- **Comparative Model : China**

- Local governments there borrow cheaply (around 2%) via Local Government Financing Vehicles (LGFVs) to fund large-scale investment

- **Way Forward**

- Need for fiscal structures that let States access domestic savings more easily and cheaply to fund planned development projects

Thank You